CSIS JAPAN CHAIR

Japan Daily Brief

Sunday, November 8, 2026

1,900 words · 8 min read

RE: M5.7 quake injures 22 · Russia expands JT asset seizure · BOJ Ueda IMF inflation signals · Vietnam PM visits · LDP targets Ishiba

NIKKEI 225	USD/JPY	BRENT	BOJ RATE
57,434.77	158.43	$98.32	1.25%
▼ -9.25%	▲ +0.47%	▼ -5.10%	

TOP STORIES

ECONOMY-BOJ

Magnitude 5.7 quake injures dozens in central Japan

A magnitude 5.7 earthquake centered in Shizuoka Prefecture struck at 1:04 am, with Aichi Prefecture's Chita City recording an upper-5 seismic intensity — the first such reading in Aichi in 29 years per Asahi. No tsunami warning was issued; Tohoku Shinkansen services between Tokyo and Morioka were suspended and later resumed, per Mainichi.

THE JAPAN TIMES

ECONOMY-BOJ

Putin exploits Takaichi's diplomatic opening with Japan Tobacco grab

President Putin signed orders placing additional Japan Tobacco International manufacturing units under Russian temporary administration, extending an asset seizure that has already affected the company's shares, per Bloomberg and Reuters. Japan formally demanded Russia reverse the seizure; Nikkei Asia reported the move is being read in Tokyo as Putin exploiting PM Takaichi's recent diplomatic opening toward Moscow.

NIKKEI ASIA

ECONOMY-BOJ

BOJ Governor Ueda at IMF: consumer prices at ~3%, upside inflation risks persist, domestic investment set to rise

Kazuo Ueda stated at the IMF's Michel Camdessus Lecture that consumer prices are running around 3% and are expected to rise further into early next year, with 'some upside risks' to inflation beyond the 2% target. He flagged that Japan's current account surplus is increasingly driven by overseas investment income rather than trade, and that the US-Japan surplus is likely to widen through that channel — a point with direct relevance to US-Japan trade negotiations.

BLOOMBERG · NOV 8, 2026

POLITICS-DIET

Japan's ruling party zeroes in on ex-PM, others over tax cut bill walkouts

Japan's LDP is formally requesting explanations from four members — including former Prime Minister **Shigeru Ishiba** — who walked out during the Lower House vote on a tax-cut bill the ruling coalition sought to pass on Friday. CGTN reported the LDP is separately considering disciplinary action against Ishiba, whose post-resignation conduct has repeatedly strained relations with the Takaichi leadership.

MAINICHI

CHINA-JAPAN

Astellas employee to be released from China prison in December

A Japanese employee of **Astellas Pharma** held in a Chinese prison on espionage charges is expected to be released in December, according to sources cited by Japanese media and confirmed by Reuters. Beijing had accused the individual of providing China-related information to an intelligence agency without disclosing further specifics.

THE JAPAN TIMES

INDO-PACIFIC

Vietnam leader To Lam visits Japan as decades-old relationship evolves

Vietnamese Communist Party General Secretary **To Lam** began an official visit to Japan, with bilateral investment, economic cooperation, and deepening strategic ties on the agenda, per Nikkei Asia and NHK. The visit follows Vietnam's characterization that the relationship is evolving beyond its decades-old aid-centered framework.

NIKKEI ASIA

STAT OF THE DAY

3%

Japan consumer prices as stated by BOJ Governor Ueda at IMF lecture

BOJ Governor Kazuo Ueda stated consumer prices are now around 3% and expected to rise further into early next year, flagging upside risks to inflation beyond the 2% target.

BOJ's Ueda: Consumer prices now around 3% and expected to rise further into early next year — investingLive

JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · SUNDAY, NOVEMBER 8, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — PM Takaichi attended a Tokyo rally of families of North Korean abductees, where participants adopted a resolution demanding the immediate collective return of abductees.

日本銀行 · BANK OF JAPAN · *BOJ Governor Kazuo Ueda*

Ueda delivers Michel Camdessus Lecture at IMF, signals upside inflation risks and domestic investment revival

Kazuo Ueda stated at the IMF's 2026 Michel Camdessus Central Banking Lecture that consumer prices are now around 3% and expected to rise further into early next year, citing 'some upside risks' to inflation. He linked Japan's revival of domestic corporate investment to moderate inflation and noted that overseas investment income has become the leading driver of Japan's current account surplus, with Japan's surplus with the US likely to widen through investment income channels.

→ Google News ↗

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *PM Sanae Takaichi*

PM Takaichi attends rally of families of North Korean abductees, calls for immediate collective return

Prime Minister **Sanae Takaichi** attended a gathering of families of Japanese citizens abducted by North Korea in Tokyo, where participants adopted a resolution demanding the immediate collective return of abductees. The rally drew approximately 800 attendees, per Jiji Press.

→ Asahi ↗

内閣官房長官 · CHIEF CABINET SECRETARY · *Chief Cabinet Secretary Minoru Kihara*

Kihara Nov. 6 afternoon press conference — PM's posture on China ties cited

Chief Cabinet Secretary **Minoru Kihara**'s November 6 afternoon press conference addressed the one-year anniversary of PM Takaichi's Taiwan remark and her stated desire for constructive ties with China; the PM was quoted as wanting dialogue despite Beijing's continued diplomatic pressure.

→ Kantei ↗

防衛省 · MINISTRY OF DEFENSE · *Defense Minister Shinjiro Koizumi*

Defense chief eyes reforms to break down inter-service barriers within the SDF

Defense Minister **Shinjiro Koizumi** indicated he is pursuing structural reforms aimed at removing barriers between branches of the Self-Defense Forces, per Xinhua's reporting of a Japanese government announcement. No additional specifics on the reform timetable were provided in available articles.

→ Xinhua ↗

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *PM Sanae Takaichi*

PM reiterates willingness to hold summit with North Korean leader

Prime Minister Takaichi reiterated her willingness to hold a direct summit with North Korea's leadership, per reports from Korean media citing Japanese government statements. No date or specific diplomatic channel was specified in available sources.

→ mk.co.kr ↗

DIET SESSIONS / LDP

LDP

Kyodo: PM Takaichi gave fewer Diet budget committee responses than four predecessors

A Kyodo analysis found that Prime Minister Takaichi responded to fewer Diet budget committee questions than each of her four immediate predecessors over comparable periods, a metric used in Japanese political accountability assessments.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
JNN · Nov 2, 2026	**64.9%**	**32.5%**
ANN · Oct 19, 2026	**47.1%**	**33.3%**
Asahi · Oct 19, 2026	**50%**	**35%**
Kyodo · Oct 19, 2026	**49.1%**	**33%**
FNN · Oct 19, 2026	**62.6%**	**32.3%**
Yomiuri · Oct 19, 2026	**57%**	**30%**
NHK · Oct 14, 2026 · **25d ago**	**50.8%**	**32%**

Discourse: LDP is pursuing disciplinary review of former PM Ishiba and three other members over the tax-cut bill walkout, sharpening intra-party tensions one year into the Takaichi cabinet.

Poll tracker: **Observing Japan approval-rating aggregator →**

BUSINESS & ECONOMY

MANUFACTURING · NIKKEI ASIA
Japan manufacturers raise profit outlooks on price hikes and weak yen
Japanese manufacturers have lifted their earnings forecasts, citing the combined tailwind of domestic price increases and the yen trading at approximately 158 per dollar, which boosts repatriated export revenue. The trend reflects a broader shift toward pricing power after decades of deflationary constraints.

MANUFACTURING · BLOOMBERG · JAPAN TOBACCO INTERNATIONAL
Russia takes more Japan Tobacco International assets after seizures hit company shares
Russia's expansion of the temporary administration of Japan Tobacco International assets, following an earlier round of seizures, has weighed on the company's share price, per Bloomberg. Tokyo has formally demanded reversal; no compensation mechanism has been reported.

MACRO · AFP
'Feeling guilty': price hikes remain a difficult consumer sell in Japan despite persistent inflation
An AFP report finds that Japanese consumers continue to resist price increases psychologically even as inflation runs above 2%, with retailers and manufacturers describing consumer pushback as a persistent obstacle to margin recovery. The dynamic complicates BOJ Governor Ueda's inflation normalization narrative at a moment when CPI is running near 3%.

TECH · MAINICHI · MUFG BANK
15 companies including MUFG Bank join consortium to target 2028 commercial air taxi launch in western Japan

15 companies spanning banking, manufacturing, and transport sectors — led by MUFG Bank — are studying commercial deployment of air taxi services in western Japan, targeting a 2028 launch. The consortium is focused on the Osaka metropolitan area, coinciding with the 2025 Expo legacy infrastructure zone.

TECH · NIKKEI ASIA

PM Takaichi pushes for tougher cybersecurity legislation as corporate cyberattacks surge

Prime Minister Takaichi is driving legislation to strengthen Japan's cybersecurity legal framework following an emergency cybersecurity package announced November 6, with Nikkei Asia noting a surge in attacks on Japanese companies. The push extends the active cyber defense posture she declared in late October.

REGIONAL PRESSURE WATCH

Normal — 24 items (Japanese government: 22, adversary signal: 2)

CHINA

On the one-year anniversary of PM Takaichi's Taiwan remark, China's Foreign Ministry — via Global Times — stated that 'Japan bears full responsibility for strained ties,' maintaining maximum diplomatic pressure. China's Ministry of State Security separately published a warning citing data leaks at Japanese firms as a national security risk lesson, per Global Times — a continued pattern of Beijing using economic-security framing to pressure Tokyo.

NORTH KOREA

No new North Korean missile launches or EEZ splashdown activity toward Japan is reported in today's Tier 1 or Tier 4 data; the tracker carries forward DPRK's October 29-30 ballistic missile salvo and Kim Jong Un's November 7 Nampho Shipyard inspection as the most recent signals.

RUSSIA

President Putin signed orders expanding Russia's temporary administration to additional Japan Tobacco International manufacturing units; Japan formally demanded reversal via MOFA. The Hokkaido Shimbun journalist Yuki Imai's detention by Russia's FSB in Sakhalin on espionage charges remains unresolved with consular access still denied.

Senkaku / ECS: No new China Coast Guard intrusions, PLA activity, or scramble reports near the Senkakus appear in today's available data; the persistent CCG patrol baseline continues.

> *"Japan bears full responsibility for strained ties"*
>
> China Foreign Ministry spokesperson (via Global Times) · Japan bears full responsibility for strained ties, FM says a year after Takaichi's erroneous remarks on Taiwan question — Global Times

Bottom line: Russia's expansion of the Japan Tobacco asset seizure is the day's sharpest bilateral escalation, timed to what Nikkei Asia characterizes as Putin exploiting PM Takaichi's diplomatic opening; China maintained its maximum-pressure posture on the Taiwan-remark anniversary with no new military activity reported near the Senkakus.

U.S.-JAPAN RELATIONS

CONGRESS · NIKKEI ASIA

Democratic midterm gains create uncertainty for Japanese US investment and data-center infrastructure projects

Nikkei Asia reports that Democratic congressional gains may affect the regulatory and political treatment of Japanese-capital US data center and technology infrastructure projects, with implications for the $550 billion US-Japan strategic investment framework. The shift in House composition could affect committee oversight and permitting for energy-intensive AI infrastructure backed by Japanese firms.

INDO-PACIFIC PARTNERS

SOUTHEAST ASIA · VN EXPRESS RE JAPAN

Vietnam's top leader begins official visit to Japan

To Lam's visit opens a new chapter in bilateral cooperation, with Vietnam seeking more Japanese investment in manufacturing, digital infrastructure, and green energy.

SOUTHEAST ASIA · KHMER TIMES

Cambodia and Japan discuss defence, trade, and AI ties as new Japanese envoy takes post

Japan and Cambodia held discussions covering defense cooperation, trade, and emerging AI sector ties as a new Japanese ambassador presented credentials in Phnom Penh.

INDIA · NIKKEI ASIA

Japan tourism sector intensifies outreach to attract Indian visitors

Japan's tourism industry is ramping up promotional and visa-facilitation efforts targeting India, whose outbound travel market is growing rapidly and remains underpenetrated relative to Japan's other major source markets.

UPCOMING

Nov 10

Vietnam General Secretary To Lam's official visit to Japan continues

Vietnamese Communist Party General Secretary To Lam began an official visit to Japan, with bilateral investment, cooperation, and diplomatic upgrading on the agenda; meetings with PM Takaichi are expected during the visit.

Nov 14

BOJ Monetary Policy Meeting (estimated)

The Bank of Japan holds roughly eight monetary policy meetings per year; following BOJ Governor Ueda's IMF remarks flagging upside inflation risks, market attention will focus on guidance for the policy rate — currently at 1.25%.

Dec 1

Astellas Pharma employee held in China for espionage expected to be released

Japanese media report that the Japanese employee of Astellas Pharma imprisoned in China on espionage charges is expected to be released in December; exact date was not specified in available sources.

Dec 8

Pearl Harbor anniversary

1941. Alliance commentary clusters here.

Dec 20

MOD FY2027 budget request Cabinet draft (estimated)

Japan's annual defense budget cycle calls for a Cabinet draft budget in December; the 2026 Three Strategic Documents review is ongoing and may affect the defense spending trajectory heading into the draft.

Washington, D.C.

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